



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 AS Level Multiple Choice

February/March 2023

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.



Done !

This document has **12** pages. Any blank pages are indicated.

2

1 A good is most suitable to be provided by the market if it is

A excludable and non-rival.

☒ B excludable and rival.

C non-excludable and non-rival.

D non-excludable and rival.

(characteristics of private good) (Price attached to it)
(Public good)

2 What is the definition of long run?

A the time period when all factors of production are specialised

☒ B the time period when all factors of production are variable

C the time period when all key inputs into production are variable

D the time period when at least one factor of production is fixed (Short run)

3 The table states the consequences of two macroeconomic policies.

What correctly identifies whether the statements are normative or positive?

	a depreciation of an exchange rate will cause the balance of payments to improve	a rise in the minimum wage rate will cause unemployment to rise
A	normative	normative
B	normative	positive ✓
C	positive ✓	normative
☒ D	positive ✓	positive ✓

↓ opinion ↓ can be proven

Read:-

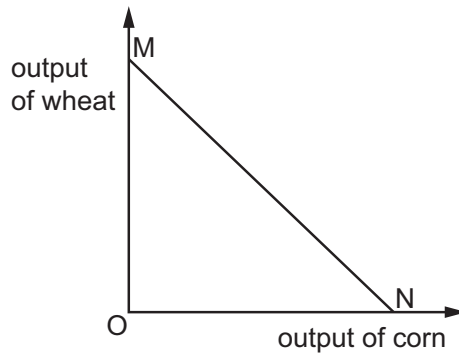
Positive economics describes and explains various economic phenomena. Normative economics focuses on the value of economic fairness, or what the economy "should be" or "ought to be." While positive economics is based on fact and cannot be approved or disapproved, normative economics is based on value judgments.

Depreciation
X prices ↓ M prices ↑
BoT surplus.

Minimum wage
wage ↑
 $Q_{S_1} > Q_{D_1}$
unemployment

3

- 4 The diagram shows the production possibility curve for wheat and corn.



What can be deduced from the diagram?

- A As the price of corn falls, more of it is demanded. *law of demand*
- B Resources used in producing corn are more efficient than in producing wheat.
- C The opportunity cost of producing corn falls when moving from M to N.
- ☒ D The opportunity cost of producing corn is constant when moving from M to N.

constant opportunity cost

- 5 A supply curve is represented by the equation

$$\text{quantity supplied} = 10 + 5P$$

where P = the price of the product.

Which price rise would cause the quantity supplied to double?

A \$1 to \$2

B \$1 to \$3

☒ C \$1 to \$4

D \$1 to \$5

$Q_s = 15$
 $Q_s = 20$

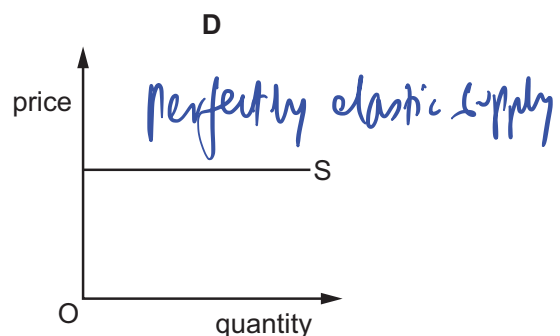
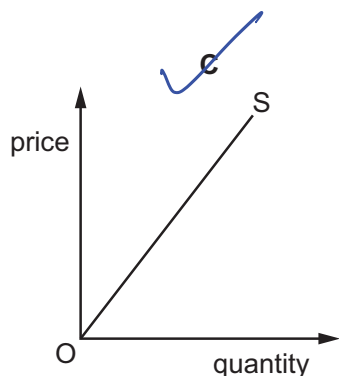
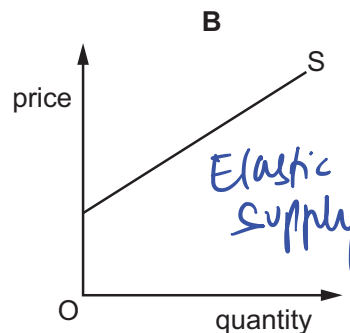
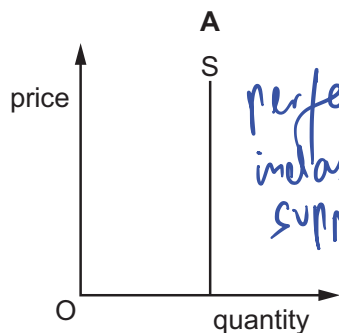
$Q_s = 15$
 $Q_s = 25$

$Q_s = 10 + 5(1) = 15$
 $Q_s = 10 + 5(4) = 30$
15 to 30

$Q_s = 15$
 $Q_s = 35$

starts from origin

6 Which diagram illustrates unitary elasticity of supply?



7 In which case is the price system not a possible method of allocating resources?

A in the distribution of foodstuff among the population

B in the hiring of workers by employers

C in the ownership of land for agricultural use

D in the provision of public goods by the government

Demand and supply can be applied

no mechanism to change price.

8 A sports stadium has two prices of seats. The cheaper seats are \$10 and the more expensive seats are \$20. When the prices of all seats are increased by 10%, the effects on demand are a fall of 5% for the cheaper seats and a fall of 12% for the more expensive seats.

What describes the responsiveness of demand to the change in price?

	cheaper seats	more expensive seats
A	elastic	elastic
B	elastic	inelastic
C	inelastic	elastic
D	inelastic	unitary elasticity

Demand falls by smaller % for cheaper seats = Inelastic

Demand falls by greater % for expensive seats = Elastic

*Price 10% ↑
Q 5% ↓*

*Price 10% ↑
Q 12% ↓*

5

Downward sloping
Negative relationship

9 Which statement correctly describes the shape of the demand curve for a normal good?

- A It shows an inverse relationship between income and quantity demanded. YED
- B It shows an inverse relationship between the price of the good and quantity demanded. Correct
- C It shows a positive relationship between the price of the good and quantity demanded. Wrighten good
- D It shows a positive relationship between income and quantity demanded. YED

Unlimited wants but limited resources

10 Why does the basic economic problem of scarcity apply to both the rich and the poor?

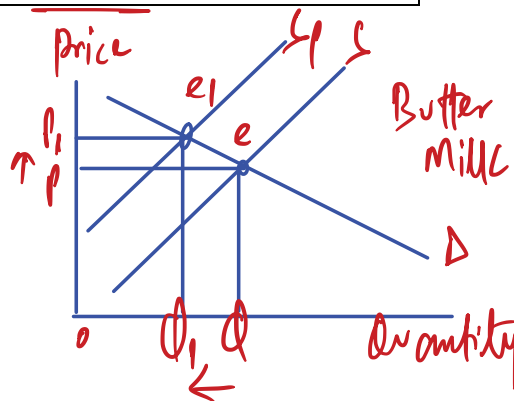
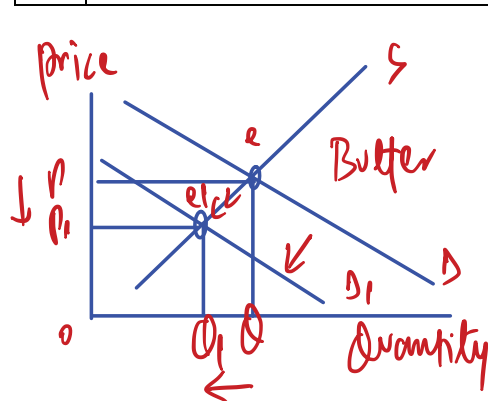
- A The choices people make are not dependent on income inequalities.
- B Consumers pay the same prices for goods and services to satisfy their wants.
- C Human wants exceed what can be produced from available resources.
- D Natural resources are unevenly distributed amongst nations.

Irrelevant

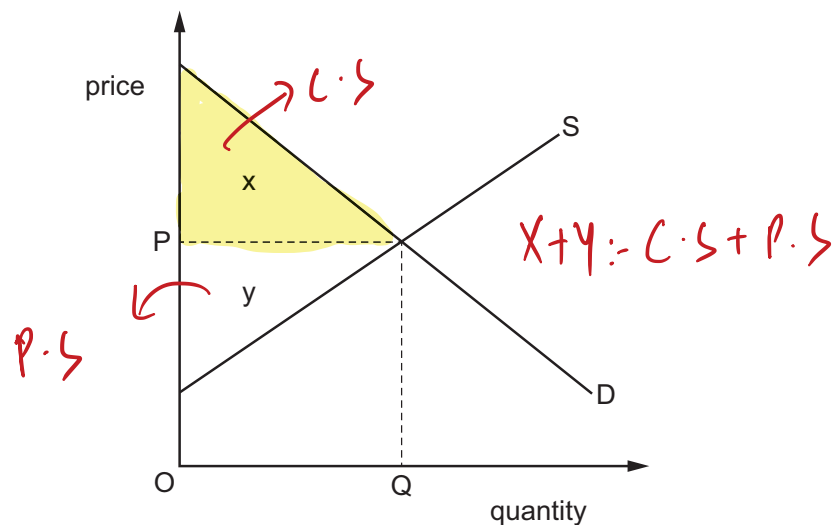
11 Butter and buttermilk are goods in joint supply. Supply curves in both markets slope upwards to the right. Health concerns cause people to reduce their consumption of butter.

What are the initial consequences of this for supply in the markets for butter and buttermilk?

	<u>Movement in supply</u> supply of butter	<u>Shift in supply</u> supply of buttermilk
A	move left along supply curve	move left along supply curve
B	move left along supply curve	shift left of the supply curve
C	shift left of the supply curve	move left along supply curve
D	shift left of the supply curve	shift left of the supply curve



12 The diagram shows the demand and supply of a good.



When the market is in equilibrium, which area measures the difference between what consumers are willing and able to pay and what producers receive at that output?

- ✓ A x B y C x + y D x - y
- price 'P'
- Consumer surplus

13 Why do some local governments subsidise the provision of bicycles to encourage their use?

- A Consumers are afraid of having car accidents. *less use of cars*
- B Consumers are unable to afford bicycles. *cheaper than cars*
- ✓ C Consumers are not aware of the external benefits of using bicycles. *lack of information, e.g. health benefits*
- D Consumers ignore the external costs of using bicycles.
- ↳ No external cost*

14 The table shows Gini coefficients for both income and wealth in two countries.

A
A+B

Inequality

	country P	country Q	<i>Inequality</i>
income	0.6	0.5	<u>P</u>
wealth	0.4	0.7	<u>Q</u>

Which statement is correct?

- They are comparable*
- A Gini coefficients are not comparable between income and wealth because one is a flow concept and the other is a stock concept.
- ✓ B Income inequality is greater in country P than in country Q. *Correct*
- C Wealth inequality is greater in country P than in country Q. *No, Q*
- D Wealth inequality is greater than income inequality in both countries.

↳ No, see 'P' (0.6 > 0.4)

- 15 A government is faced with rising inflation. It wishes to reduce inflationary pressure while avoiding a fall in output.

Which action is most likely to meet its needs?

- ☒ A an increase in laws to promote competition *AS ↑, P ↓, Output ↑*
☐ B an increase in taxation *AS ↓, P ↓, output ↓*
☐ C an increase in the budget surplus *G ↓, AS ↓, output ↓*
☐ D an increase in the exchange rate *Appreciation, leads to trade deficit, AS ↓*

- 16 The table shows selected information from a country's national accounts.

National income = GDP + net property income from abroad

28 - 3 = 25

25 - 6 = 19

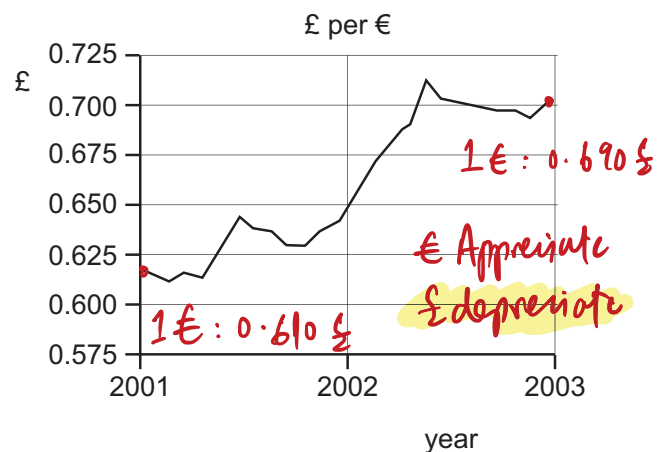
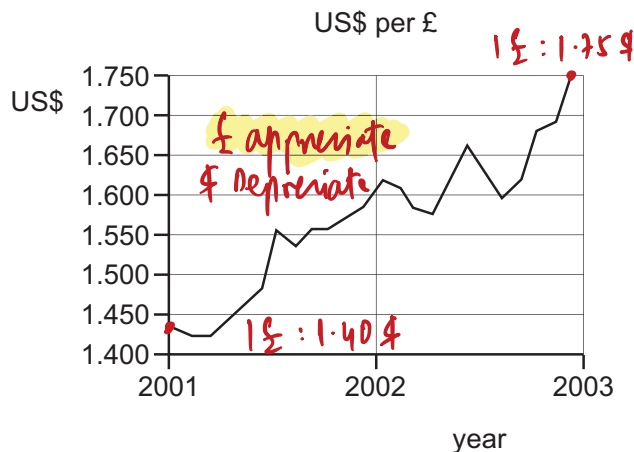
	\$ billion
GDP	28
net property income from abroad	-3
capital consumption	6
national debt	2

What is the country's net national income?

- ☒ A \$19 billion ☐ B \$25 billion ☐ C \$31 billion ☐ D \$33 billion

National income - Depreciation (Capital consumption)

- 17 The graphs show the changes in the exchange rates of the pound sterling (£) against the US dollar (US\$) and the euro (€) between the years 2001 and 2003.



What happened to the value of the £ between the years 2001 and 2003?

- ☒ A The £ appreciated against the US\$ and depreciated against the €. *Correct*
☐ B The £ appreciated against the US\$ and the €. *No*
☐ C The £ depreciated against the US\$ and appreciated against the €. *Other way round*
☐ D The £ depreciated against the US\$ and the €. *No*

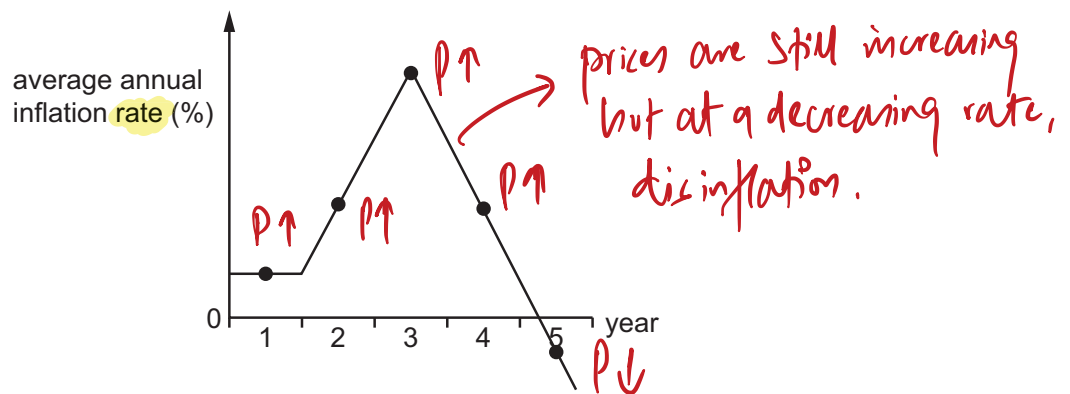
saving doesn't need to be equal to investment, leakages with draws needs to be equal injections. 8
 can't cancel

18 Which statement about the circular flow of income is correct?

- A Exports and imports do not affect the equilibrium level of national income because they always cancel each other out. *They do, X(J), m(w)*
- B The greater the level of saving, the greater the level of injections in the form of investment must be.
- C When consumers use past savings to increase their spending, there will be a rise in national income. *S↓, C↑, AD↑, national income ↑*
- D When a government increases withdrawals by increasing the rate of income tax, there must be an equivalent increase in injections to compensate.

Not necessary, doesn't need to be equivalent

19 The graph shows a country's average annual inflation rate over a five-year period.



What can be concluded about the general price level during the five years?

- A It fell in only one year. *years*
- B It fell in only two years.
- C It rose in only two years.
- D It was constant in only one year. *rate was constant, not price*

20 In an economy, wages and prices are both rising but wages are rising faster.

Which features are likely to exist in this economy?

	cost-push inflation	rise in real incomes
A	no	no
B	no	yes ✓
C	yes ✓	no
D	yes ✓	yes ✓

wages ↑
 cost ↑
 cost push inflation ↑

$$\text{Real wage} = \text{Nominal wage} - \text{Inflation}$$

$$\uparrow = \uparrow \quad \uparrow$$

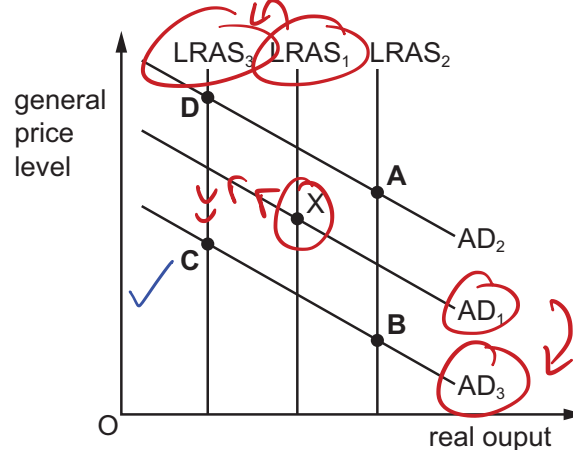
(Real income or Real wage)

- 21 The diagram shows the aggregate demand (AD) and long-run aggregate supply (LRAS) curves for a country. X is the original equilibrium position.

In one year, over one million foreign workers left the country and at the same time the country's currency appreciated against the currencies of its major trading partners.

What will be the most likely new equilibrium position for this country?

Appreciation
 $X_{prices} \uparrow$, $M_{prices} \downarrow$
 Trade deficit
 $AD \downarrow$



Appreciation

- 22 What is most likely to cause a rise in a country's exchange rate?

- A a fall in its direct taxes, $C \uparrow$, $M \uparrow$, Depreciation
 B a fall in its export orders, $X(TE) \downarrow$, Depreciation
 C a rise in its interest rates, $R \uparrow$, $C \downarrow$, $M \downarrow$, $S_{RS} \downarrow$, Appreciation
 D a rise in its imports, $M \uparrow$, $S_{supply} \uparrow$, Depreciation

- 23 Which change affecting the foreign exchange market for the US\$ would be most likely to result in a shift to the right of the demand curve and a movement along the supply curve?

- A The US government reduces subsidies on exports to the EU. Demand $\downarrow$
 B Foreign currency speculators in Switzerland believe that the US\$ is undervalued and act accordingly. Demand $\uparrow$ (starts purchasing)
 C The US government intervenes in the foreign exchange market so as to bring about a drop in the value of the US\$. Supply $\uparrow$
 D US pharmaceutical companies experience a fall in demand for their products from the rest of the world. Demand $\downarrow$

- 24 What can be best understood from a knowledge of a country's terms of trade?

- A its balance of payments performance $\rightarrow$ need BOT data
 B the purchasing power of its exports $\frac{X_{prices}}{M_{prices}} \times 100$
 C the standard of living within the country $\rightarrow$ How many units that can be purchased
 D the value of its real exchange rate $\rightarrow$ A lot of indicators required.
 $\rightarrow$ needs to be adjusted with inflation

- 25 A company produces goods for export only.

Which change could cause a rise in the price of its goods while the quantity sold is unchanged?

	domestic workers' wages	foreign consumers' wages
A	unchanged	fall
B	fall	unchanged
C	fall	fall
D	rise	rise

Wages ↑ (Domestic) cost ↑
 $\downarrow$ (Q ↓)
 price ↑

foreign consumers
 Wages ↑
 purchasing power ↑
 $\uparrow$ (Q ↑)
 prices ↑

unchanged

- 26 Under which current conditions will supply-side policy measures be most likely to achieve a country's key macroeconomic goals?

	unemployment level	price level
A	high ✓	stable
B	high ✓	rising ✓
C	low	stable
D	low	rising ✓

$\hookrightarrow AS \uparrow$
 $P \downarrow$ → price stability
 Real output ↑
 $\hookrightarrow$ economic growth ↑
 unemployment ↓

Demand = Supply

- 27 Why might a government prefer to use floating exchange rates?

- A It allows the government more independence in policy making. Because government involvement in maintaining exchange rate is left to market.
- B It encourages the government to build up its foreign exchange reserves.
- C It eliminates the instability of free markets. More instability
- D It gives firms more confidence in future costs and prices. low confidence
- Fluctuating reserves, self adjustment

- 28 What is least likely to rise as a result of the use of expansionary fiscal policy?

- A aggregate demand $C \uparrow, AD \uparrow$
- B budget surplus
- C nominal income $AD \uparrow, \text{nominal income} \uparrow$
- D inflation $AD \uparrow > AS, \text{prices} \uparrow, \text{inflation}$

$\hookrightarrow Tax \downarrow + C \uparrow$

$Tax \downarrow, C \uparrow, \text{Budget surplus} \downarrow (\text{or deficit})$

- 29 The table shows GDP indices for a country over a three-year period.

	year 1	year 2	year 3
real GDP	100	105	106
money GDP	100	107	115

Inflation and economic growth are two macroeconomic policy objectives.

Which row gives a correct assessment of the country's achievement of these two objectives over the period?

	rate of inflation	rate of economic growth
A	cannot tell	positive
B	declining	cannot tell
☒ C	positive	declining
D	rising	negative

Rate of inflation, +ve, as money GDP > real GDP

Rate of economic growth, declining, as Real GDP ↓

- 30 A government raises interest rates to improve the current account of the balance of payments.

What might reduce the effectiveness of this policy?

- A a fall in domestic growth, Y down, M down, improves current account
- B consumer pessimism, S up, M down
- ☒ C increased domestic saving, S up, S down, M down
- D price-elastic demand for exports

✓ $S \uparrow$, Appreciate, X prices $\uparrow$, elastic demand, X Qty $\downarrow$, X (TR) $\downarrow$, deficit